system, Unified Payments Interface (UPI), has grown by leaps and bounds over the past decade and become a default option to pay for everything from a cup of tea to monthly groceries to electricity bill. In August alone, there were 24.51 billion transactions, with their value totalling ₹29.82 lakh crore. Will MDR change this?

Rajagopalan feels that larger merchants and retailers may not worry too much and absorb the charge, but small merchants will think twice. There is also another concern whether customers, who mostly pay by UPI or other digital methods, will agree to pay a bit more or pay cash or simply move to other retailers.

Meanwhile, another issue has cropped up. Small merchants receiving up to ₹1 lakh a month through UPI will not have to pay the levy, as per the person-to-person-merchant (P2PM) guidelines. But Rajagopalan says this is an extremely low threshold.

Rajiv Kumar, the former Vice-Chairman of Niti Aayog, expresses similar views, stating there was no need to disturb the status quo.

"The local *chatwallas, dhabas*, vegetable and fruit juice sellers have a daily income of ₹5,000. That totals more than ₹1 lakh. So, they will be classified as P2M and charged 0.4%. Who will determine the monthly income of millions of such vendors and yet prevent harassment? Huge incentive to shift back to cash," Kumar wrote on social media platform X.

The National Payment Corporation of India, the umbrella organisation that operates retail payment and settlement systems across India, has clarified that if monthly sales exceed ₹1 lakh, the acquiring bank will categorise the merchant under P2M, but MDR will apply on UPI transactions above ₹2,000 only.



"The revised UPI MDR framework represents a shift from subsidising adoption to building sustainable digital infrastructure. Its calibrated design protects consumers, small merchants"

RANADURJAY TALUKDAR
PARTNER & PAYMENTS SECTOR LEADER, EY INDIA



"Retailers only make around 18-19% margins. After all the expenses, if they are lucky, they make some 2-3%. So, 0.4% [of MDR levy on UPI] is going to affect them"

KUMAR RAJAGOPALAN
CEO
RETAILERS ASSOCIATION OF INDIA

Petroleum dealers recently held discussions with the ministry of petroleum and natural gas seeking an exemption from the new charges and threatening non-acceptance of UPI from October 15. They later clarified that UPI payments will continue to be accepted.

UPI, launched in 2016, was made free in 2020, as the government looked to aggressively push digital payments. The government had subsidised UPI transactions for years. But with the scale growing significantly, it wants to make the system sustainable. For transactions of ₹75,000 and above, the MDR will be capped at ₹300 per transaction.

For specific merchant categories, such as railways, telecom services, insurance, and fuel, among others, a flat MDR of ₹5 per transaction shall be applicable for transactions above ₹2,000. Person-to-person transactions, however, will continue to be free.

The MDR will be shared by the players within the ecosystem, which includes the payment system provider, payment apps, and banks. It is estimated to create a pool of almost ₹20,000 crore annually.

ARGUMENTS FOR MDR

Backers of MDR say the charge is significantly lower than for other forms of payment like credit cards,